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Equity markets and foreign investors do not seem to reflect the optimism surrounding the fundamentals of the Indian economy. Why is that?

The stock market and the economy are related only broadly. There is no consistent correlation. The headline indices are not behaving that well, but that is not a reason to disbelieve economic growth.

The FIIs (foreign institutional investors) are a different issue. If you are an asset allocator and US 10-year yields are 5.3%, it is given that there will always be an equity risk premium. It is hard to expect that FPIs (foreign portfolio investors) will be warm towards India because India is not an asset class yet.

If interest rates have gone up in the US, especially in the last two months, it is difficult to see FPIs getting flows, and flows coming to India. That has nothing to do with whether they believe in the India growth story or not.

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Why has the private capex cycle still not picked up?

In Q1 FY27, GDP and investment growth were robust. A lot of it is private. Private sector investments may not be commensurate with the capital or retained earnings that they are generating, but they are starting to invest in sectors like steel and cement. Power sector capex has picked up. Many large groups have announced expansion of data centres, although clarity on silicon prices is missing. Private sector capital is starting to move. It is not as bad as it was three years back. But the growth we saw between say 2007 and 2012-13, may not be visible in the next one or two years.

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What are your priorities as India's Executive Director at the World Bank?

The World Bank is going through transition, and several policies need to be defined and adapted. The board also has a role in allocation of capital to various geographies and products.

The second area of work is channelling World Bank capital and knowledge to the Indian economy. We have identified urbanisation, tourism, critical minerals, and agricultural exports as the four areas where we need the convening power of the World Bank, or someone who has authority and knowledge of the World Bank, to work with the state governments.

The third area of work is that in Washington D.C., the understanding of the Indian economy is a bit outdated from 15-20 years back. It is important to engage with think tanks and industry bodies on work that India has been doing in sectors like semiconductors, manufacturing, infrastructure, and availability of power. **BT**

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